

Comprehensive ESG Performance and Sustainability Disclosure Analysis: Afya Limited (AFYA.OQ)

Company Identification and Strategic Institutional Context

The subject of this comprehensive analytical report is Afya Limited, a preeminent medical education group and medical practice solutions provider operating within the Brazilian market. Identified on the Nasdaq Global Select Market under the ticker symbol AFYA.OQ and on the Brazilian B3 exchange as A2FY34, the company represents a significant consolidation of educational and technological assets focused on the professional lifecycle of physicians.¹ The legal name of the entity is Afya Limited, a company incorporated in the Cayman Islands for jurisdictional and capital market purposes, though its operational headquarters and primary economic activities are concentrated in Brazil.⁴

The headquarters of Afya Limited is situated at Alameda Oscar Niemeyer, No. 119, Room 504, Vila da Serra, Nova Lima, Minas Gerais, 34000, Brazil.⁴ This location serves as the administrative hub for a sprawling network of Higher Education Institutions (HEIs) and healthtech subsidiaries distributed across the Brazilian territory. The company operates within the Education and Training Services sector, with a specific industry classification focused on Healthcare Education and Business-to-Consumer (B2C) services.⁴

Afya's business model is structured into three primary operational segments, each contributing to its broader Environmental, Social, and Governance (ESG) footprint. The Undergraduate segment provides medical and health sciences degrees; the Continuing Education segment offers graduate and specialization courses; and the Medical Practice Solutions segment provides digital tools, such as the Whitebook platform, which supports clinical decision-making for over 238,000 active users.¹ The identification of Afya as the leading medical education group in Brazil is supported by data from its official investor relations portal, Nasdaq exchange disclosures, and financial data providers such as Bloomberg and Refinitiv.¹

The entity's formation in 2019 resulted from a merger between NRE Educacional and Medcel, a move that integrated traditional brick-and-mortar education with advanced digital health technologies.⁶ This hybrid nature is critical for understanding its ESG materiality, as the company must manage the physical environmental risks of its campuses alongside the digital governance and data privacy requirements of its healthtech platforms.⁸

ESG Report Timeline Analysis (2014–2023)

The historical development of Afya's sustainability reporting reflects an evolution from localized social impact assessments to a globally recognized corporate disclosure framework. The analysis of the period between 2014 and 2023 indicates a strategic intent to leverage transparency as a tool for capital market access and institutional credibility.

Phase I: The Pre-IPO Legacy and Social Foundation (2014–2018)

During this period, the group functioned primarily under the governance of its founding entities, such as NRE Educacional. The emphasis was heavily weighted toward the "Social" pillar, specifically the impact of medical education on regional development.

In 2014, the group initiated and concluded its first comprehensive Social Impact Assessment.¹⁰ This study, which analyzed data going back to 2004, sought to quantify the causal relationship between the establishment of medical schools in rural areas and the subsequent improvement in local public health metrics.¹⁰ The findings indicated a measurable reduction in hospital admissions and mortality rates in the municipalities where the group operated, serving as a foundational data set for future sustainability narratives.¹⁰

While formal ESG reports aligned with the Global Reporting Initiative (GRI) were not published annually during this timeframe, the group established internal mechanisms for tracking community engagement and healthcare provision.⁸ This era was characterized by "impact-first" activities that were often reported as part of academic or localized corporate communications rather than integrated financial disclosures.

Phase II: IPO, Rebranding, and the Institutionalization of ESG (2019–2020)

The year 2019 served as a transformative milestone for the company's ESG maturity. Following its Initial Public Offering (IPO) on the Nasdaq, the company adopted the name Afya, which reflects a Swahili term for "health" and "wellbeing".⁹

In 2019, Afya published its first Annual Sustainability Report as a publicly traded company.⁹ This report introduced the use of the Global Reporting Initiative (GRI) standards and the International Integrated Reporting Council (IIRC) framework.⁹ The disclosure began tracking key metrics such as the number of free medical consultations provided by its network, which reached nearly 3 million by the end of the reporting cycle.⁸

In 2020, Afya became a signatory to the United Nations Global Compact in Brazil, formally aligning its corporate values with the UN 2030 Agenda for Sustainable Development.⁸ This year also saw the prioritization of specific Sustainable Development Goals (SDGs), primarily SDG 3 (Good Health and Wellbeing) and SDG 4 (Quality Education).⁸ To support these commitments,

the company initiated its first comprehensive Greenhouse Gas (GHG) Emissions Inventory, a move that demonstrated an expanding focus beyond social impact to include environmental accountability.³

Phase III: Global Validation and Sophisticated Financial Integration (2021–2023)

As the company entered its third year as a public entity, the complexity and rigor of its ESG disclosures increased significantly, driven by demands from international institutional investors.

In 2021, Afya's ESG performance received external validation from Sustainalytics, which assigned the company a "Low Risk" ESG Risk Rating.¹³ The assessment placed Afya in the 10th percentile of more than 13,500 organizations worldwide, suggesting that its exposure to material ESG risks was low and its management of those risks was robust.¹¹ Furthermore, in 2021, the company established a formal Privacy Office to manage the governance of data in compliance with the Brazilian General Data Protection Law (LGPD), a critical step given the rapid expansion of its digital segments.⁸

The year 2022 was marked by the consolidation of reporting frameworks. Afya integrated the Sustainability Accounting Standards Board (SASB) standards into its annual reporting, alongside the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD).³ The 2022 Sustainability Report was also the first to undergo individual third-party assurance by KPMG, covering both the reporting metrics and the GHG inventory.³

In 2023, Afya achieved a landmark in the integration of ESG and finance by securing a R\$ 500 million sustainability-linked loan from the International Finance Corporation (IFC).¹⁰ This financial instrument was unique in the Brazilian education sector, as it tied the interest rate to the achievement of social targets, including the provision of free medical consultations and the quality of education scores (ENADE).¹² During this period, Afya also introduced "Double Materiality" assessments, evaluating both the impact of environmental and social issues on the company's enterprise value and the company's impact on the society and environment.¹²

Summary Table: ESG Reporting Timeline (2014-2023)

Year	Milestone	Frameworks/Assurance	Relevance to Transparency
2014	First Social Impact Assessment	Internal Retrospective Study	Established baseline for community health impact. ¹⁰

2019	Inaugural Sustainability Report	GRI, IIRC	Formalized disclosure for international capital markets. ⁹
2020	UN Global Compact Signatory	UN SDGs	Aligned corporate purpose with global sustainability goals. ⁸
2021	Sustainalytics "Low Risk" Rating	External Assessment	Validated risk management for institutional investors. ¹³
2022	Adoption of SASB and TCFD	SASB, TCFD, KPMG Assurance	Enhanced technical depth and audit rigor of reports. ³
2023	Sustainability-Linked IFC Loan	IFC Due Diligence	Linked social performance directly to cost of capital. ¹²

Environmental Stewardship and Natural Capital Management

The environmental strategy of Afya Limited is primarily focused on resource efficiency and the decarbonization of its physical infrastructure. Operating a vast network of campuses across diverse ecological regions in Brazil necessitates a standardized approach to energy and waste management.

Renewable Energy and Carbon Footprint

As of the 2023 and 2024 reporting cycles, Afya has achieved 100% renewable energy consumption across its group operations.⁸ This achievement is anchored by 17 units equipped with proprietary solar power generation facilities, which provide approximately 22% to 23% of the total electricity required by the company.⁸ To cover the remaining energy needs, Afya procures electricity from the Free Energy Market and utilizes International Renewable Energy Certificates (I-RECs) to guarantee clean origins.⁸

The company's energy metrics for 2023 and 2024 are detailed in the following table:

Metric	2023 Value	2024 Value	Trend/Implication
Total Energy Consumed (MWh)	24,036,608	24,260,662	Marginal increase due to seat expansion. ⁸
% Renewable Energy (Own Generation)	16.0%	23.2%	Significant growth in self-sufficiency. ⁸
% Renewable Energy (Grid/Market)	84.0%	76.8%	Reduced reliance on external energy sources. ⁸
Solar Generation Units	14 (Est.)	17	Ongoing infrastructure investment. ⁸

Afyra's commitment to environmental transparency is further evidenced by its receipt of the "Gold Seal" in the Brazilian GHG Protocol Program.¹⁰ This certification is awarded only to companies that demonstrate the highest standards of transparency in publishing their greenhouse gas emissions inventories, verified by independent third parties.¹⁰

Water and Waste Management Targets

Afyra has established long-term environmental sustainability goals with a target year of 2035. These goals include a 40% reduction in electricity consumption intensity, a 30% reduction in water withdrawal intensity, and a 25% reduction in solid waste sent to landfills.⁸

Performance tracking for 2024 against these targets shows mixed results:

- **Electricity Intensity:** 9.6% reduction (on track toward 40% target).⁸
- **Water Withdrawal Intensity:** 2.7% reduction (positive trajectory toward 30% target).⁸
- **Solid Waste Diversion:** -6.4% variance (indicating an increase in waste sent to landfills, primarily attributed to the integration of new acquisitions that had not yet adopted group-wide management standards).⁸

The management of environmental risks is integrated into the company's Enterprise Risk Management (ERM) process. Although the external Sustainalytics classification is low, internal monitoring focuses on environmental non-compliance, ensuring all campus operations adhere to Brazilian environmental regulations to avoid legal penalties and reputational damage.¹¹

Social Impact: The Core of Afya’s Value Proposition

The "Social" dimension represents the most material aspect of Afya’s ESG profile. The company’s business model is inherently tied to providing social value through healthcare education and community services, particularly in underserved regions.

Internalization of Medicine and Public Health Contribution

Afya’s geographic strategy is a primary driver of its social impact. Approximately 73% of the group’s schools are located in the North and Northeast regions of Brazil, which are historically underserved by the medical profession.⁸ Furthermore, 54% of its medical schools are located outside metropolitan regions, a strategy known as the "Internalization of Medicine".⁸

This physical presence translates into direct healthcare provision. In 2023, Afya’s network provided more than 580,000 free healthcare consultations.¹⁵ By 2024, this figure increased to over 846,000 annual consultations, contributing to a cumulative total of more than 3 million free consultations since 2019.⁸ A study analyzing the group's impact between 2004 and 2021 found that the presence of these schools prevented approximately 4,100 hospital admissions and saved 28,600 lives.¹²

Human Capital and Diversity

Afya demonstrates a sophisticated approach to human capital management, emphasizing diversity, equity, and inclusion (DEI). As of late 2024, the company employed over 9,700 individuals throughout Brazil.⁸

Workforce Metric	2024 Status	Relevance
% Female Employees	59% - 60%	Significant gender representation. ⁸
% Women in Leadership	48%	Close to achieving gender parity in management. ¹²
% Self-declared Black/Brown	48%	Reflects Brazilian demographic diversity. ⁸
% LGBTQIAPN+	13%	Inclusive culture measurement. ¹⁰
GPTW Ranking	40th Place	High employee

		satisfaction/engagement. ¹⁰
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The company’s culture is further supported by scholarship programs for employees, with 36 staff members receiving awards for undergraduate and graduate studies in 2024.⁸ Its inclusion in the Bloomberg Gender Equity Index for two consecutive years (2022-2023) highlights its commitment to transparent reporting on gender-related metrics.¹⁵

Governance, Ethics, and Digital Integrity

The governance structure at Afya is designed to meet the rigorous requirements of the Nasdaq exchange while providing oversight for its rapid M&A-driven growth.

Board Structure and Independence

The Board of Directors is the highest governing body, responsible for formulating long-term strategies and supervising the executive team. As of the 2024 reports, the board is composed of 10 members.⁸

The board's composition highlights high standards of independence and diversity:

- Independent Members:** 40% (4 out of 10), ensuring objective oversight and diverse viewpoints in decision-making.⁸
- Female Representation:** 30% to 36%, with the company holding the "Women on Board" seal.⁸
- Committees:** The board is supported by the People and ESG Committee, which oversees sustainability strategy, and the Audit, Risks and Ethics Committee (CARE), which monitors internal controls and compliance.¹¹

Information Security and Data Privacy

With over 238,000 active users on its medical practice platforms and tens of thousands of students, Afya considers data privacy a critical risk area.⁸ The company’s governance framework for digital integrity is guided by its LGPD compliance policies, including:

- Privacy by Design:** Integrating data protection into the development of all new products.⁸
- Security Incident Management:** Robust protocols for responding to potential data breaches.⁸
- Regular Assessments:** Recurring information security risk audits to identify and mitigate vulnerabilities.⁸

The executive compensation structure also reflects ESG priorities, with a variable portion of bonuses linked to performance targets that increasingly include sustainability-related KPIs.¹¹

Material Controversies and Regulatory Milestones

Afya’s ESG journey is not without risks, particularly those inherent in the Brazilian education sector.

Regulatory and M&A Risks

The medical education market in Brazil is highly regulated by the Ministry of Education (MEC). Afya’s growth depends on the authorization and expansion of medical "seats".² While the company successfully grew its medical seats to 3,593 by 2024, the integration of acquired institutions poses risks related to standardizing quality and sustainability practices.⁸

In its SEC filings and sustainability reports, Afya notes the risk of environmental non-compliance at its campus locations, which could lead to fines or license suspensions.¹¹ However, as of the 2023-2024 reporting period, no material controversies involving criminal environmental violations or widespread labor abuse were identified in verified public records.¹¹ The M&A due diligence process includes a verification of E&S risks, such as proximity to sensitive biodiversity areas or indigenous communities, ensuring that new acquisitions do not compromise the group’s ESG standing.¹⁷

Reference Table with Credibility Assessment

#	Reference (APA 7th edition format)	Source Type	Credibility Score (0–10)	Justification for Score	Relevance to Query
1	Afya Limited. (2024). <i>Annual Sustainability Report 2024.</i>	Primary (Corporate Report)	10	Official company disclosure; third-party audited by KPMG.	Primary source for current ESG metrics.
2	Afya Limited. (2023). <i>Annual Sustainability Report 2023.</i>	Primary (Corporate Report)	10	Official company disclosure; follows GRI/SASB standards.	Core history for reporting timeline.

3	Sustainalytics . (2021). <i>ESG Risk Rating Report: Afya Ltd.</i>	Secondary (Rating Agency)	8	Respected global rating provider with standard methodology.	Source for risk percentile and validation.
4	IFC. (2023). <i>Environmental and Social Review Summary - Afya Sustainability Loan.</i>	Primary (Regulator/Lender)	9	International Finance Corp; stringent due diligence requirements.	Details on the sustainability-linked loan.
5	SEC. (2023). <i>Form 20-F: Annual Report for the Fiscal Year Ended December 31, 2022.</i>	Primary (Regulator)	10	Legally mandated filing with US federal government.	Verification of legal and risk governance.
6	Bloomberg. (2023). <i>Gender-Equality Index: Afya Limited Inclusion.</i>	Secondary (Rating/Index)	8	Major financial data provider; transparent index criteria.	Verification of DEI performance.
7	Brazil GHG Protocol Program. (2024). <i>Public</i>	Primary (Certification)	9	Official registry for verified emissions	Confirms GHG Gold Seal and inventory

	<i>Emissions Registry - Afya.</i>			data in Brazil.	transparency.
8	Business Wire. (2025). <i>Afya Limited Announces Full-Year 2024 Results.</i>	Secondary (News)	7	Reputable press release distribution for corporate news.	Recent financial and ESG data snippets.
9	MSCI ESG Research. (2024). <i>ESG Ratings and Climate Search Tool.</i>	Secondary (Rating Agency)	8	Global leader in ESG indices and analytics.	Benchmarking against industry peers.
10	Time Magazine. (2024). <i>The World's Most Influential Edtech Companies.</i>	Secondary (News)	7	Global editorial standards; industry-specific ranking.	Context on tech innovation and social impact.

Transparency and Limitations

This report is based on information available as of the current knowledge cutoff date of March 27, 2026. While the data regarding Afya’s ESG reporting timeline is extensive, several limitations should be noted:

1. **Paywalled Data:** Detailed scores from specific agencies like MSCI ESG, ISS ESG, or Refinitiv are often restricted to paid terminals. While snippets indicate positive trends (e.g., A to AA upgrades in certain contexts), the specific granular scorecards for 2025/2026 were not fully accessible through public reports.¹⁸

2. **Unverified Claims:** Certain historical "Social Impact" metrics from the 2004–2014 period are categorized as "Unverified" for contemporary third-party audit purposes, as they rely on retrospective internal studies conducted by the company rather than contemporaneous audited sustainability reports.¹⁰
3. **M&A Lag:** Data for recently acquired institutions (e.g., UNIDOM, FUNIC) may not be fully integrated into the 2024 environmental metrics, contributing to temporary variances in waste management performance.²

For further independent verification, users are encouraged to visit:

- **Afya Investor Relations - Sustainability Strategy:**
(<https://ir.afya.com.br/sustainability-strategy/>).⁸
- **Global Reporting Initiative (GRI) Database:** For direct access to the company's disclosure reports.
- **CDP Disclosure Portal:** To view public climate change and water security responses.

Conclusion: Strategic Outlook on Sustainability

The analysis of Afya Limited (AFYA.OQ) demonstrates a company that has successfully integrated ESG into its core financial and operational strategy. Its transition from a fragmented group of educational assets to a unified medical ecosystem has been accompanied by a corresponding maturation in sustainability reporting.

The most significant conclusion from this study is the success of Afya's "Social" pillar as a business driver. By linking its cost of capital to social targets through the IFC sustainability-linked loan, the company has created a virtuous cycle where positive societal impact (increased healthcare access) directly improves shareholder value (reduced interest expenses). Furthermore, its 100% renewable energy achievement positions it at the forefront of the Brazilian education sector in terms of environmental stewardship.

Looking forward, the company's ability to maintain its "Low Risk" rating will depend on the successful integration of its rapid acquisitions into its centralized ESG framework. The temporary challenges in waste management diversion illustrate the complexity of this task. However, the existing governance structure, characterized by high board independence and audited disclosures, provides a robust foundation for navigating these operational risks. Afya Limited represents a mature example of how an emerging market company can leverage international ESG frameworks to achieve global institutional recognition.

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